

Bank of the Phil Islands (BPI PM)

Hold: Muted outlook despite earnings beat consensus

EQUITIES COMMERCIAL BANKS

Philippines

- ▶ 1Q17 results exceeded market expectations
- ▶ PPOP growth was strong, owing to better non-interest income
- ▶ Hold rating, new TP PHP108.00 (from PHP110.40)

Preliminary results beat market expectations. BPI released a press statement (full details not yet available) announcing 1Q17 results. 1Q17 net profit was PHP6.3bn (+34% QoQ, +26% YoY), which was ahead of our and market expectations. PPOP was up +36% QoQ (+24% YoY), mostly due to higher non-interest income, leading to 34% quarterly net profit growth.

Other highlights:

- ▶ Net loans rose +20% YoY (-1% QoQ), which we believe was driven by the corporates and retail segments.
- ▶ Non-interest income rose +23% YoY (+29% QoQ), driven mostly by higher trading gains, service fees, underwriting fees and gains from asset sales.
- ▶ Operating expenses rose 11% YoY, driven by higher staff costs, regulatory costs and IT. Its cost-to-income ratio fell from 58% in 4Q to 49% in 1Q, and was lower compared to 1Q16's 51%.
- ▶ Provisioning rose 2% YoY (+42% QoQ), but headline NPL ratio remained stable at 1.5% on a QoQ basis. Its reserve coverage rose from 119% in 4Q to 124% in 1Q.

New TP PHP108.00 and adjust EPS by -4 to +2% in 2017/18e. We adjust our EPS by -4 to +2% in 2017/18e, to reflect 2016 actual earnings. However, due to the lack of details in 1Q17, we have not revised our 2017e earnings fully but adjust to reflect the 2016 numbers, despite the beat. We also revised our TP to PHP108.00 to reflect the change in the book value per share after adjusting for 2016 actual earnings. In this report, we introduce our 2019e earnings estimates.

We have a Hold rating. While we like BPI's sound fundamentals given its liquid balance sheet, good asset quality, and ample capital, near-term muted earnings growth of -5% and ROE compression (from 14% in 2016 to 12% in 2017e), with the absence of material trading gains, appears to be unattractive. Furthermore, the stock looks fairly valued at 20x 2017e PE (+1SD above its 10-year historical mean of 17x) or 2.3x 2017e PB (slightly below its 10-year average of 2.4x). We have a Hold rating on the stock.



HOLD

TARGET PRICE (PHP)

108.00

PREVIOUS TARGET (PHP)

110.40

SHARE PRICE (PHP)

106.00

(as of 19 Apr 2017)

UPSIDE/DOWNSIDE

+1.9%

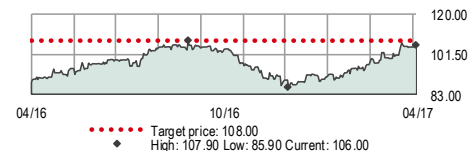
MARKET DATA

Market cap (PHPm)	416,484	Free float	69%
Market cap (USDm)	8,370	BBG	BPI PM
3m ADTV (USDm)	3	RIC	BPI.PS

FINANCIALS AND RATIOS (PHP)

Year to	12/2016a	12/2017e	12/2018e	12/2019e
HSBC EPS	5.60	5.32	5.94	6.76
HSBC EPS (prev)	5.59	5.24	6.20	-
Change (%)	0.2	1.5	-4.2	-
Consensus EPS	5.51	5.70	6.59	7.58
PE (x)	18.9	19.9	17.8	15.7
Dividend yield (%)	1.7	1.7	1.7	2.4
P/NAV	2.5	2.3	2.1	2.0
ROE inc. gwill (%)	14.0	12.2	12.5	13.1

52-WEEK PRICE (PHP)



Source: Thomson Reuters IBES, HSBC estimates

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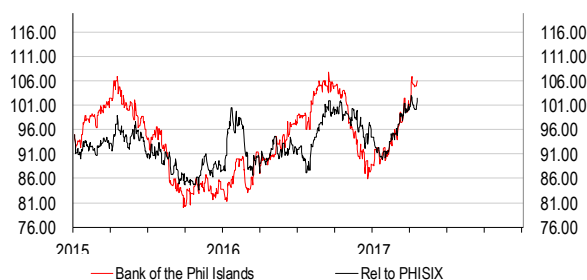
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Financials & valuation: BPI

Hold

Year to	12/16a	12/17e	12/18e	12/19e
P&L Summary (PHPmn)				
Interest income	58,312	67,123	77,795	89,958
Interest expense	-15,935	-18,576	-21,924	-25,983
Net interest income	42,377	48,547	55,871	63,975
Net fees & commissions	7,998	8,558	9,157	9,798
Other income	16,176	12,999	14,109	15,133
Operating income	66,551	70,103	79,137	88,906
Operating expense	-34,941	-38,426	-42,569	-46,757
Pre-prov op profit (PPOP)	31,610	31,677	36,568	42,149
Provision charges	-4,800	-6,200	-8,100	-9,800
Non-op items	0	0	0	0
Profit before tax	26,810	25,477	28,468	32,349
Taxation	-4,535	-4,310	-4,815	-5,472
Minorities + preferences	-225	-236	-248	-260
Reported profit	22,050	20,931	23,404	26,617
Core profit	22,050	20,931	23,404	26,617
Balance sheet summary (PHPmn)				
Ordinary equity	165,134	178,996	195,196	211,847
Customer loans (Net)	1,040,720	1,216,017	1,419,531	1,656,566
Investment in securities	310,380	325,888	342,252	359,512
Customer deposits	1,431,300	1,631,682	1,860,117	2,139,135
Debt issued	0	0	0	0
Interest earning assets	1,468,969	1,671,392	1,891,254	2,123,243
Interest bearing liabilities	1,427,391	1,625,172	1,837,967	2,090,343
Total assets	1,725,696	1,985,572	2,243,980	2,502,118
Capital (%)				
RWA (PHPmn)	1,145,846	1,294,806	1,463,131	1,697,232
Core equity Tier 1	12.1	11.5	10.7	10.0
Tier 1	12.1	11.5	10.7	10.0
CAR	13.0	12.3	11.5	10.6
Per share data (PHP)				
EPS	5.60	5.32	5.94	6.76
Diluted EPS (HSBC)	5.60	5.32	5.94	6.76
DPS	1.80	1.80	1.80	2.50
NTA	41.94	45.46	49.58	53.81
BV	41.94	45.46	49.58	53.81
Ratios (%)				
PE (HSBC)	18.9	19.9	17.8	15.7
Pre-provision multiple	13.2	13.2	11.4	9.9
P/NTA	2.5	2.3	2.1	2.0
P/BV	2.5	2.3	2.1	2.0
Dividend yield (%)	1.7	1.7	1.7	2.4

Price relative



Source: HSBC

Year to	12/16a	12/17e	12/18e	12/19e
Ratios (%)				
Gross yield	3.97	4.02	4.11	4.24
Cost of funds	1.12	1.14	1.19	1.24
Net interest margin	2.88	2.90	2.95	3.01
Non-int inc/operating inc	36.3	30.7	29.4	28.0
Customer loans (gross)/deposits	74.0	76.0	78.0	79.3
Cost/operating income ratio	52.5	54.8	53.8	52.6
Cost/average assets	2.2	2.1	2.0	2.0
Net provision/ avg net loans	0.5	0.5	0.6	0.6
Gross NPLs/loans	1.5	1.7	1.7	1.7
Coverage	118.3	111.4	124.4	139.3
Effective tax rate	16.9	16.9	16.9	16.9
Core ROA	1.36	1.13	1.11	1.12
Core ROE	14.0	12.2	12.5	13.1
Growth (Y-o-Y, %)				
Earning assets	12.0	13.8	13.2	12.3
Total assets	13.8	15.1	13.0	11.5
Gross loans	19.1	17.0	17.0	17.0
Deposits	12.2	14.0	14.0	15.0
Net interest income	9.7	14.6	15.1	14.5
Non interest income	16.7	-10.8	7.9	7.2
Operating income	12.1	5.3	12.9	12.3
Total cost	9.6	10.0	10.8	9.8
Provision charges	20.7	29.2	30.6	21.0
Pre-provision profit	15.0	0.2	15.4	15.3
HSBC PBT	14.0	-5.0	11.7	13.6
HSBC net profit	20.9	-5.1	11.8	13.7
HSBS EPS	20.8	-5.1	11.8	13.7
DPS	0.0	0.0	0.0	38.9
BVPS	9.7	8.4	9.1	8.5
ROAA Decomposition				
Net Interest Income	2.61	2.62	2.64	2.70
Non-Interest Income	1.49	1.16	1.10	1.05
Operating Income	4.11	3.78	3.74	3.75
Operating Expenses	-2.16	-2.07	-2.01	-1.97
PPOP	1.95	1.71	1.73	1.78
Provisions	-0.30	-0.33	-0.38	-0.41
Non-op items	0.00	0.00	0.00	0.00
Op Inc before Tax	1.65	1.37	1.35	1.36
Taxation	-0.28	-0.23	-0.23	-0.23
Minorities	-0.01	-0.01	-0.01	-0.01
Reported profit	1.36	1.13	1.11	1.12
Leverage	10.3	10.8	11.3	11.7
Reported ROE	14.0	12.2	12.5	13.1

Source: Company data, HSBC estimates

Priced at close of 19 April 2017

BPI: 1Q17 results summary

FYE Dec (PHP m)	1Q17	4Q16	% QoQ ch	1Q16	% YoY ch	3M17	3M16	% YoY ch
Net interest income	11.5	11.1	3.6	10.0	15.0	11.5	10.0	15.0
Non-interest income	6.5	5.0	28.6	5.3	22.6	6.5	5.3	22.6
Operating expenses	8.7	9.4	-6.7	7.8	11.2	8.7	7.8	11.2
Pre-provision profit	9.2	6.8	36.3	7.4	24.4	9.2	7.4	24.4
Provision charges	1.2	0.8	41.6	1.2	1.6	1.2	1.2	1.6
Pre-tax profit	8.0	5.9	35.5	6.2	28.7	8.0	6.2	28.7
Taxes & minorities	1.8	1.3	42.2	1.3	41.2	1.8	1.3	41.2
Net profit	6.3	4.7	33.7	5.0	25.6	6.3	5.0	25.6
Net loans (PHP bn)	1,033	1,040	-0.7	861	19.9			
Deposits (PHP bn)	1,437	1,430	0.5	1,298	10.7			
LDR (%)	71.8	72.7	-0.9	66.3	5.5			
Non-Il/Income (%)	36.0	31.2	4.8	34.5	1.5			
Cost-income (%)	48.6	58.0	-9.4	51.4	-2.8			
Gross NPL ratio (%)	1.5	1.5	0.0	1.7	-0.2			
Loan loss cover (%)	124	119	5.0	114	9.5			

Source: Company data, HSBC estimates

Earnings estimates and target price changes

BPI: Earnings estimates revision

FY Dec (PHP mn)	2017E			2018E		
	Previous	Current	% chg	Previous	Current	% chg
Interest income	65,715	67,123	2%	75,798	77,795	3%
Interest expense	(18,687)	(18,576)	-1%	(21,948)	(21,924)	0%
Net int inc	47,028	48,547	3%	53,850	55,871	4%
Non-int inc	24,150	21,556	-11%	27,790	23,266	-16%
Operating inc	71,178	70,103	-2%	81,640	79,137	-3%
Operating expenses	(37,997)	(38,426)	1%	(42,171)	(42,569)	1%
PPoP	33,181	31,677	-5%	39,468	36,568	-7%
Provision charges	(6,600)	(6,200)	-6%	(8,000)	(8,100)	1%
Exceptionals	-	-	NM	-	-	NM
Pre-tax profit	26,581	25,477	-4%	31,468	28,468	-10%
Tax + Minorities	(5,964)	(4,546)	-24%	(7,040)	(5,063)	-28%
Net profit	20,617	20,931	2%	24,429	23,404	-4%

Growth assumptions	Previous	Current	bps change	Previous	Current	bps change
Loan growth (%)	17.0%	17.0%	0.00	17.0%	17.0%	0.00
NIM (%)	2.94%	2.90%	-0.04	3.00%	2.95%	-0.04
Fee income (%)	16.0%	16.0%	0.00	16.0%	16.0%	0.00
Non-Il (%)	-6.8%	-10.8%	-4.07	15.1%	7.9%	-7.14
Cost-to-income ratio (%)	53.4%	54.8%	1.43	51.7%	53.8%	2.14
Credit costs (%)	0.58%	0.54%	-0.05	0.61%	0.60%	0.00
Eff tax rate (%)	21.9%	16.9%	-4.94	21.9%	16.9%	-4.94

Source: Company data, HSBC estimates

GGM changes

GGM assumptions	Previous	Current
CoE	7.0%	7.0%
Sustainable ROE	12.5%	12.5%
Growth rate	3.0%	3.0%
2017e BV (PHP/ sh)	46.18	45.46
FV (PHP/ sh)	110.40	107.98
Rounded up FV	110.40	108.00

Source: Company data, HSBC estimates

Philippine banks: Sector valuation table

Bank	Ticker	Rec	Current price (PHP)	Price target (PHP)	Upside/Downside (%)	PBV (x)		RoE (%)		PE (x)		Div yield (%)		Mkt cap (US\$bn)	Avg trdg value (US\$m)
						17E	18E	17E	18E	17E	18E	17E	18E		
Banco de Oro	BDO PM	Hold	119.90	122.90	2.5	1.7	1.6	11.2	10.1	18.0	16.5	1.0	1.0	10.5	6.4
Bank of Phil Islands	BPI PM	Hold	106.00	108.00	1.9	2.3	2.1	12.2	12.5	19.9	17.8	1.7	1.7	8.4	3.7
Metrobank	MBT PM	Buy	81.80	105.50	29.0	1.2	1.1	9.0	10.4	14.1	11.3	1.2	1.5	5.2	8.7
UnionBank	UBP PM	Buy	79.30	99.90	26.0	1.2	1.1	9.9	11.4	12.1	9.7	2.5	2.5	1.7	0.6
Security Bank	SECB PM	Buy	216.00	297.70	37.8	1.5	1.3	10.7	11.3	14.2	12.2	0.9	1.2	3.3	3.6
Sector avg						1.7	1.5	10.7	10.9	16.8	14.5	1.3	1.4		

Source: Bloomberg, HSBC estimates, Priced at close of 19 April 2017

Valuation and risks

We value BPI at a new TP of PHP108.00 (from PHP 110.40) based on an intrinsic PB multiple derived from a Gordon growth model. Our target price assumes a 12.5% sustainable ROE, a 7.0% cost of equity, and a 3% growth rate. The new target price reflects the changes to our book value per share after incorporating the 2016 full year results. Our cost of equity assumptions reflect HSBC's estimate of a 2.5% global risk free rate and a 5% market equity risk premium and a beta of 0.90. Our target price implies a 2.4x 2017e PB and 20.3x 2017e PE. Our target price implies upside of 1.9% and owing to the muted earnings growth outlook and expected ROE compression in 2017, we maintain a Hold rating on the stock.

Key **upside risks** to our rating and estimates are higher-than-expected loan growth, should the PPP projects take off in a significant way; higher-than-expected NIM; and lower-than-expected provisioning.

Key **downside risks** to our view are lower-than-expected NIM; lower-than-expected non-interest income; and higher-than-expected provisioning.

Disclosure appendix

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*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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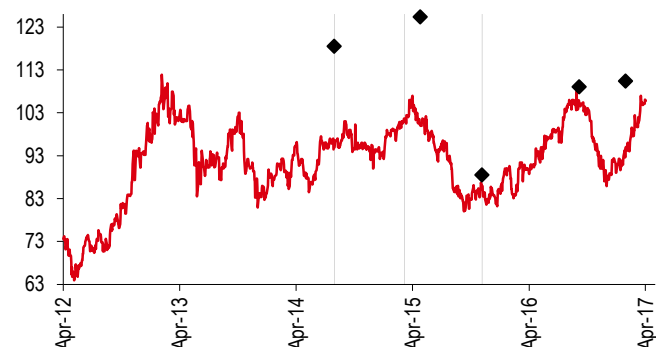
Buy	45%	(25% of these provided with Investment Banking Services)
Hold	40%	(26% of these provided with Investment Banking Services)
Sell	15%	(17% of these provided with Investment Banking Services)

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Share price and rating changes for long-term investment opportunities

Bank of the Phil Islands (BPI.PS) share price performance PHP Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Underweight	Overweight	17 Aug 2014	Xiushi Cai
Overweight	Buy	25 Mar 2015	Xiushi Cai
Buy	Hold	24 Nov 2015	Xiushi Cai
Target price	Value	Date	Analyst
Price 1	118.50	17 Aug 2014	Xiushi Cai
Price 2	125.35	14 May 2015	Xiushi Cai
Price 3	88.50	24 Nov 2015	Xiushi Cai
Price 4	109.05	23 Sep 2016	Xiushi Cai
Price 5	110.40	16 Feb 2017	Xiushi Cai

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
BANK OF THE PHIL ISLANDS	BPI.PS	105.80	20 Apr 2017	6, 7

Source: HSBC

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